reimposition of duties on Indian traders. The battle was about to begin again. The truth of the matter was that there could not exist two masters in Bengal. While Mir Qasim believed that he was an independent ruler, the English demanded that he should act as a mere tool in their hands, for had they not put him in power?

Mir Qasim was defeated in a series of battles in 1763 and fled to Awadh where he formed an alliance with Shuja-ud-Daulah, the Nawab of Awadh, and Shah Alam II, the fugitive Mughal emperor. The three allies clashed with the Company's army at Buxar on 22 October 1764 and were thoroughly defeated. This was one of the most decisive battles of Indian history for it demonstrated the superiority of English arms over the combined army of two of the major Indian powers. It firmly established the British as masters of Bengal, Bihar and Orissa and placed Awadh at their mercy.

Clive, who had returned to Bengal in 1765 as its Governor, decided to seize the chance of power in Bengal and to gradually transfer the authority of government from the Nawab to the Company. In 1763, the British had restored Mir Jafar as Nawab and collected huge sums for the Company and its high officials. On Mir Jafar's death, they placed his second son Nizam-ud-Daulah on the throne and as a reward to themselves made him sign a new treaty on 20 February 1765. By this treaty the Nawab was to disband most of his army and to administer Bengal through a Deputy *Subahdar* who was to be nominated by the Company and who could not be dismissed without its approval. The Company thus gained supreme control over the administration (or *nizamat)* of Bengal. The members of the Bengal Council of the Company once again extracted nearly 15 lakhs of rupees from the new Nawab.

From Shah Alam II, who was still the titular head of the Mughal empire, the Company secured the *Diwani,* or the right to collect revenue of Bihar, Bengal and Orissa. Thus, its control over Bengal was legalised and the revenues of this most prosperous of Indian provinces placed at its command. In return, the Company gave him a subsidy of 26 lakhs of rupees and secured for him the districts of Kora and